

- (1) Which of the following provides the best example of arbitrage?
 - (a) If the price of gold is low on the Shanghai market and you expect it to rise, you could buy gold while the price is low and wait until the price goes up to sell it for a profit.
 - (b) If you buy coffee futures in New York and hedge that bet by also buying stock in Starbucks
 - (c) If the price for a gallon of milk in Boston is \$5 and the price of milk in Allston is \$4, you could buy it in Allston and sell it in Boston.
 - (d) If you buy one house in Maine and another in Miami, expecting that one of the two will appreciate in value
- (2) Which of the following provides the best example of a benefit for society that firms create when markets work efficiently?
 - (a) monopolist control of prices
 - (b) increased variety and improved product quality
 - (c) limited consumer choice
 - (d) enhanced search costs for consumers
 - (e) barriers to entry
- (3) Which of the following is most true of matching markets?
 - (a) prices do all the work in matching markets, i.e., all one needs for a matching market to work is a price that equalizes supply and demand
 - (b) matching markets are all characterized by network effects
 - (c) factor markets and product markets are two types of matching markets
 - (d) the New York Stock Exchange provides an excellent example of a matching market
 - (e) in matching markets, transactions typically depend on preferences or other non-price factors
- (4) According to the “Note on Markets,” which we read for Week #8, which of the following is NOT one downsides to society that can arise even when markets function well?
 - (a) substantial market power
 - (b) income inequality and wealth disparities
 - (c) short-term focus
 - (d) unethical behavior
- (5) According to the “Note on Businesses in Political and Economic Systems,” which we read for Week #7, which of the following is one of the ways that democratic political systems impact businesses?
 - (a) they regularly create substantial market power by encouraging competition
 - (b) they typically provide advantages to those firms connected to their unelected leaders
 - (c) they usually support stable political environments that encourage long-term business investments
 - (d) they generally support business by limiting political dissent and implementing policies quickly
 - (e) they inhibit businesses from acting in their self-interest, thus unsettling the relationship between supply and demand.
- (6) According to the “Note on Markets,” which we read for Week #8, which of the following provides the best example of an inclusive economic institution?
 - (a) the concentration of power in the hands of an elite cadre of individuals personally connected to national leaders
 - (b) government actions that are transparent, informed by experts, and treat all individuals and businesses without special favors
 - (c) providing a short-term focus on firm profitability that drives firm performance in each period of time
 - (d) an institution that prioritizes the inclusion of individuals from other countries in domestic policy decisions
- (7) According to the SM131 note, “Market Failures and the roles of Business and Governments,” that we read for Week #9, which of the following best summarizes the goal of antitrust enforcement?
 - (a) to encourage firms to develop barriers to entry
 - (b) to help enable trusting relationships to develop between governments and firms
 - (c) to ensure that all natural monopolies are replaced by public ownership
 - (d) to prevent Communism or Socialism from destroying the trust in markets
 - (e) to enable competition

Sample Text Response questions:

- (8) The “Note on Businesses in Political and Economic Systems,” which we read for Week #7, described a series of economic systems, some of which were characterized as “mixed economies.” (a) What did the reading mean by “mixed economies” and (b) Please choose one of the following countries, identify its political system, and explain whether and in which ways its economy is mixed: the People’s Republic of China, Denmark, or the United States?
- (9) According to its 2023 Annual Report, Boston University received nearly \$600 million in government grants to undertake academic research. What market failure is BU taking advantage of when it receives these grants?
- (10) In Week #9, we noted that economies of scale could contribute to at least one type of market failure. Please identify a firm that you are aware of (it could be a firm we discussed in SM131 or simply a firm that you know) that is able to take advantage of economies of scale and (a) identify the firm, (b) identify the market failure (or failures) associated with economies of scale and describe where the economy of scale comes from, and (c) explain how that firm leverages a particular economy of scale in order to create or capture value.
- (11) This question explores your understanding of platform markets. Please (a) explain what makes platform markets different from typical product markets, (b) identify a firm that operates a platform in a platform market, and (c) explain the features of the business that make it a platform.
- (12) Suppose that you own a car, that you think that your car may need engine repairs, that you know that a car mechanic will know more about what is wrong with the car than you will, and that there are 20 different car mechanic businesses in your town where you could choose to have your car repaired. Please explain (a) which market failure (or failures) are present in this example, (b) propose an approach that a government might take to address that market failure, and (c) propose an approach that a firm that is not in the industry (i.e., a firm that does not repair cars) could undertake to create and capture value by solving that market failure.
- (13) During Week #8, we discussed the role of governments in developing infrastructure that could have an impact on the ability of businesses to create value in lecture and in the second Discussion session. Suppose that your simulated coffee shop were real. Please (a) identify a government infrastructure investment that could have an impact on the ability of a local coffee shop to create and capture value and (b) explain, using the Value Stick Framework, how you expect that this investment would affect value creation and capture.

Sample Multiple Choice Questions

- (1) Which of the following provides the best example of arbitrage?
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 - (c) If the price for a gallon of milk in Boston is \$5 and the price of milk in Allston is \$4, you could buy it in Allston and sell it in Boston.**
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- (2) Which of the following provides the best example of a benefit for society that firms create when markets work efficiently?
 - (a) monopolist control of prices
 - (b) increased variety and improved product quality**
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- (3) Which of the following is most true of matching markets?
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- (4) According to the “Note on Markets,” which we read for Week #8, which of the following is **NOT** one downsides to society that can arise even when markets function well?
 - (a) substantial market power**
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 - (c) short-term focus
 - (d) unethical behavior
- (5) According to the “Note on Businesses in Political and Economic Systems,” which we read for Week #7, which of the following is one of the ways that democratic political systems impact businesses?
 - (a) they regularly create substantial market power by encouraging competition
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 - (c) they usually support stable political environments that encourage long-term business investments**
 - (d) they generally support business by limiting political dissent and implementing policies quickly
 - (e) they inhibit businesses from acting in their self-interest, thus unsettling the relationship between supply and demand.
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 - (b) to help enable trusting relationships to develop between governments and firms
 - (c) to ensure that all natural monopolies are replaced by public ownership
 - (d) to present Communism or Socialism from destroying the trust in markets
 - (e) to enable competition**

Sample Text Response questions:

- (8) The “Note on Businesses in Political and Economic Systems,” which we read for Week #7, described a series of economic systems, some of which were characterized as “mixed economies.” (a) What did the reading mean by “mixed economies” and (b) Please choose one of the following countries, identify its political system, and explain whether and in which ways its economy is mixed: the People’s Republic of China, Denmark, or the United States?

Answer:

(a) Mixed economies blend features of capitalism and socialism

(b) Denmark = democracy; mixed economy, private ownership of property + strong social safety net supported by public programs; PR China = autocracy; mixed economy, substantial private & substantial state ownership of property & businesses + substantial regulation & public programs; USA = democracy; mixed economy, private ownership of most property & business, some gov’t ownership & some safety net (public programs)

- (9) According to its 2023 Annual Report, Boston University received nearly \$600 million in government grants to undertake academic research. What market failure is BU taking advantage of when it receives these grants?

Answer: positive externalities!

[note: governments try to overcome positive externalities associated with basic scientific research by providing subsidies (grants) for academic research; BU is benefiting from those]

- (10) In Week #9, we noted that economies of scale could contribute to at least one type of market failure. Please identify a firm that you are aware of (it could be a firm we discussed in SM131 or simply a firm that you know) that is able to take advantage of economies of scale and (a) identify the firm, (b) identify the market failure (or failures) associated with economies of scale and describe where the economy of scale comes from, and (c) explain how that firm leverages a particular economy of scale in order to create or capture value.

Answer: many are possible; here’s an example...

(a) Coca-Cola, (b) Market Power due to economies of scale in marketing & distribution relative (high fixed costs relative to market size), (c) Coca-Cola leverages those economies of scale by charging high prices relative to average costs (hence Π).

- (11) This question explores your understanding of platform markets. Please (a) explain what makes platform markets different from typical product markets, (b) identify a firm that operates a platform in a platform market, and (c) explain the features of the business that make it a platform.

Answer: many are possible; here’s an example...

(a) Platforms differ from typical markets in that they have to attract and connect multiple parties (e.g., buyers and sellers) and maintain a structure and set of rules that facilitate market exchange; (b) Etsy operates a platform that connects craft-makers with craft-buyers, (c) it operates a website and app where sellers can post their crafts and buyers can view and purchase those crafts.

- (12) Suppose that you own a car, that you think that your car may need engine repairs, that you know that a car mechanic will know more about what is wrong with the car than you will, and that there are 20 different car mechanic businesses in your town where you could choose to have your car repaired. Please explain (a) which market failure (or failures) are present in this example, (b) propose an approach that a government might take to address that market failure, and (c) propose an approach that a firm that is not in the industry (i.e., a firm that does not repair cars) could undertake to create and capture value by solving that market failure.

Answer: many are possible; here’s an example...

(a) information asymmetry; (b) governments could hire inspectors to test the honesty of car repair mechanics; (c) a private firm could create a site/app to which users could post reviews of various mechanics.

- (13) During Week #8, we discussed the role of governments in developing infrastructure that could have an impact on the ability of businesses to create value in lecture and in the second Discussion session. Suppose that you owned a coffee shop that served BU students and local residents. Please (a) identify a government infrastructure investment that could have an impact on the ability of your coffee shop to create and capture value and (b) explain, using the Value Stick Framework, how you expect that this investment would affect value creation and capture

Answer: many are possible; here's an example...

(a) government could build a monument outside the local coffee shop that provides beautiful scenery outside the shop; (b) this would increase willingness to pay (value creation = UP), but since it does not affect cost or price, value capture is unaffected.